

NHPC Ltd (NHPC)

Sector: Energy

ROE

10.4%

ROCE

5.1%

D/E

0.84x

OPM

49.9%

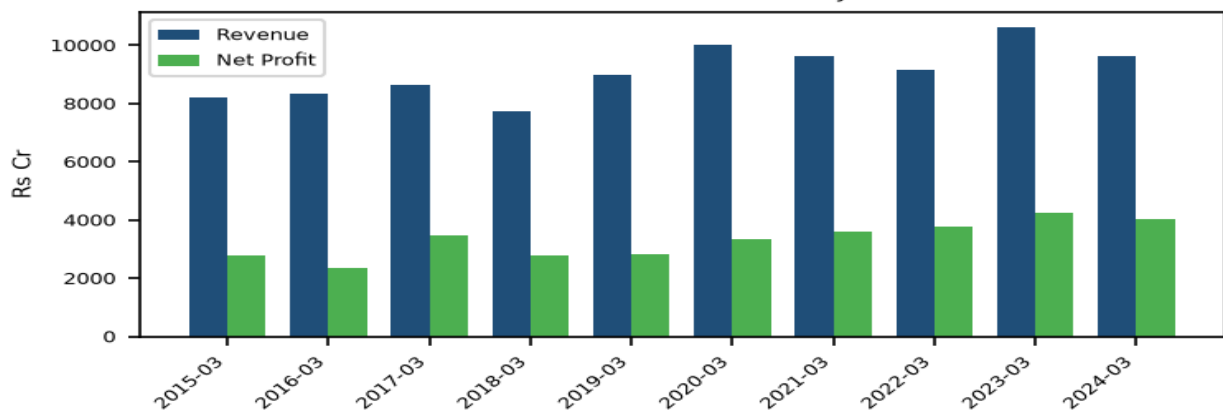
Revenue CAGR 5yr

1.4%

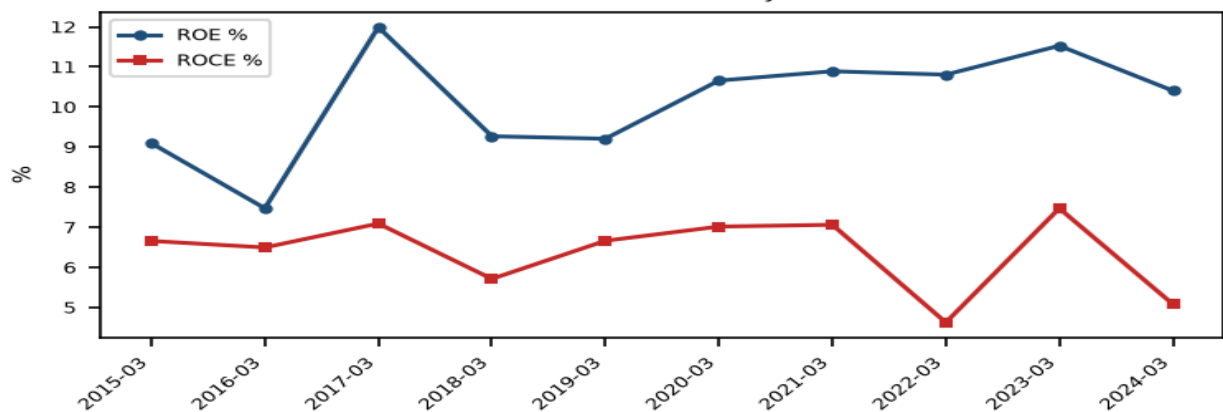
Free Cash Flow

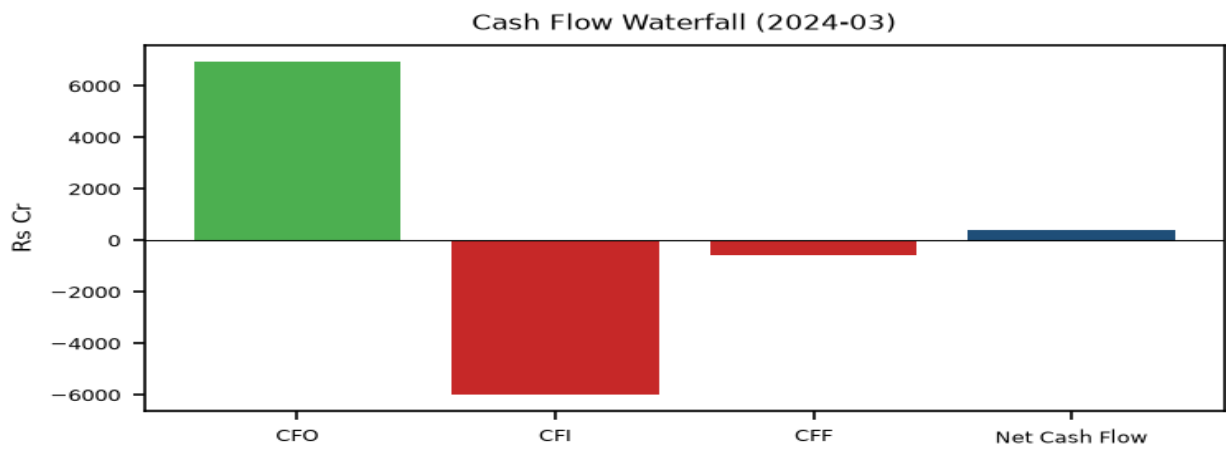
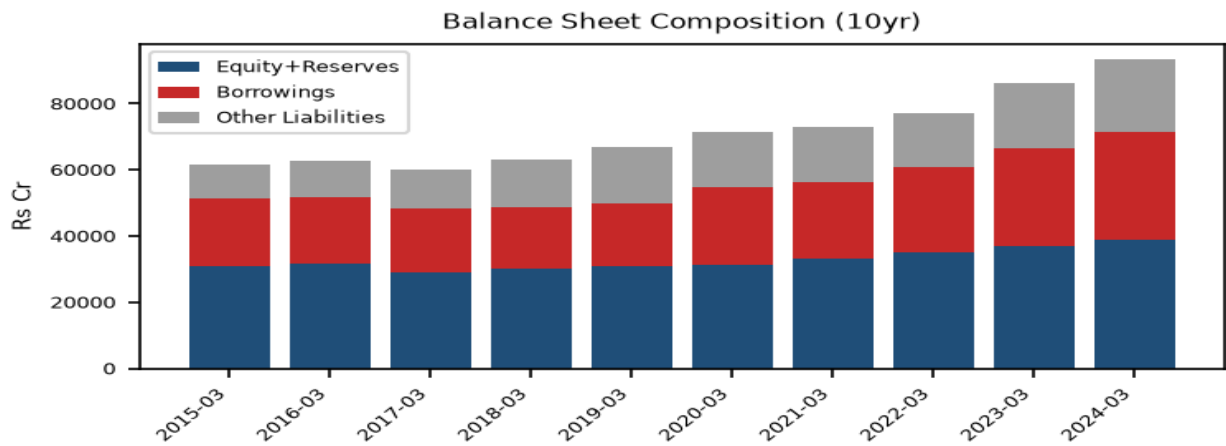
Rs 970 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

Capital Allocation: Shareholder Returns